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FM Practice Quiz M7

## FM Practice Quiz M7



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Question 1

What is the primary difference between bond and stock valuation in terms of cash flow timing?

- ☐ Neither bonds nor stocks have specified maturity dates
- ☐ Bonds have a specified maturity date while stocks theoretically last forever
- ☐ Both bonds and stocks have specified maturity dates
- ☐ Stocks have a specified maturity date while bonds last forever

QUESTIONS

|   |   |   |   |
|---|---|---|---|
| X | X | X | X |
| X | X | X | X |
| X | X | X | X |
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| X | X | X | X |

Question 2

What is the primary difference between risk and uncertainty in financial markets?

- ☐ Risk is always measurable while uncertainty is not
- ☐ Risk is associated with positive outcomes while uncertainty is associated with negative outcomes
- ☐ Risk involves known probabilities while uncertainty involves unknown probabilities
- ☐ Risk involves known distributions while uncertainty involves unknown distributions

## Question 3

A portfolio consists of two stocks with standard deviations of 15% and 27% respectively. If the correlation between the stocks is 1 and they are equally weighted, what is the portfolio's standard deviation?

- ☐ 30%
- ☐ 12%
- ☐ 21%
- ☐ 6%

## Question 4

Which of the following best describes the concept of leverage in financial markets?

- ☐ A technique to amplify returns by borrowing funds or using derivatives
- ☐ A method to reduce overall portfolio risk
- ☐ A strategy to diversify investments across asset classes
- ☐ A regulatory requirement to maintain minimum capital reserves

## Question 5

A trader buys 100 shares of stock at \$50 per share using 2:1 leverage. If the stock price increases by 10% what is the trader's percentage return on their initial investment?

- ☐ 25%
- ☐ 15%
- ☐ 20%

☐ 10%

Question 6

Which of the following is NOT mentioned as a category of ethical issues in finance?

- ☐ Overcharging clients for services
- ☐ Lying to colleagues or customers
- ☐ Taking things that aren't yours
- ☐ Hiding things that you shouldn't hide

Question 7

Which of the following is NOT one of the six key inputs for valuing a call option?

- ☐ Time to expiration
- ☐ Strike level
- ☐ Company earnings
- ☐ Stock price

Question 8

Which of the following best describes the relationship between volatility and direction in financial markets?

- ☐ Volatility is indifferent to direction and measures the magnitude of price movements
- ☐ Volatility always indicates an upward trend in prices
- ☐ Volatility only measures positive price movements

- ☐ Volatility always indicates a downward trend in prices

Question 9

What is the primary purpose of the Macaulay duration metric in bond analysis?

- ☐ To calculate the yield to maturity of a bond
- ☐ To measure the average time to receive cash flows weighted by their present values
- ☐ To estimate the future interest rate movements
- ☐ To determine the credit risk of a bond issuer

Question 10

What is the primary reason why uploading course solutions to public websites is considered unethical?

- ☐ It makes the course too easy for future students
- ☐ It creates temptation for future students to plagiarize
- ☐ It will deter future student enrollment to the course
- ☐ It decreases the value of the course

Question 11

How does underestimating volatility affect option pricing?

- ☐ It leads to underpricing of options
- ☐ It leads to overpricing of options
- ☐ It has no effect on option pricing

- ☐ It only affects put options not call options

Question 12

How does correlation impact portfolio diversification?

- ☐ Correlation has no impact on diversification
- ☐ Lower correlation between assets generally leads to better diversification
- ☐ Only perfect positive correlation (+1) leads to diversification
- ☐ Higher correlation always leads to better diversification

Question 13

How does the fungibility of assets affect market liquidity?

- ☐ Highly fungible assets tend to have higher market liquidity
- ☐ It always decreases market liquidity
- ☐ It has no impact on market liquidity
- ☐ It only affects commodity markets

Question 14

How does plagiarism affect the reputation of a university program?

- ☐ It diminishes the value of the degree in the job market
- ☐ It leads to more funding for the program

- ☐ It increases the prestige of the program
- ☐ It has no effect on the program's reputation

Question 15

What is the primary risk associated with sector-specific ETFs during market stress?

- ☐ They always underperform individual stocks in the same sector
- ☐ They may be more vulnerable to specific economic or regulatory factors affecting that sector
- ☐ They are immune to market downturns
- ☐ They always outperform the broader market

Question 16

What is the main implication of non-linearity in volatility?

- ☐ Volatility of a portfolio of two stocks is not necessary the sum of volatilities of two stocks.
- ☐ Non-linearity in volatility only affects option pricing
- ☐ Volatility always increases proportionally with time
- ☐ Volatility can be easily predicted using linear models

Question 17

What is the primary purpose of the TRACE reporting system in bond markets?

- ☐ To manage counterparty risk in bond transactions
- ☐ To regulate bond issuance

- ☐ To increase price transparency in over-the-counter bond trading
- ☐ To set interest rates for corporate bonds

Question 18

What is the most likely consequence of using AI tools like ChatGPT to complete graded assignments at WQU?

- ☐ Heavy penalties for the entire group
- ☐ No consequences if used sparingly
- ☐ A warning from the professor
- ☐ Extra credit for innovation

Question 19

According to "Financial Stability Report", which of the following is NOT one of the four broad categories of vulnerabilities in the Federal Reserve's monitoring framework for financial stability?

- ☐ Monetary policy implementation
- ☐ Excessive borrowing by businesses and households
- ☐ Excessive leverage within the financial sector
- ☐ Valuation pressures

Question 20

In the context of financial ethics, what does "fiduciary responsibility" mean?

- ☐ Following all government regulations
- ☐ Acting in the best interest of the client
- ☐ Minimizing risk for the financial institution
- ☐ Maximizing profits for the company

SUBMIT

